

lion worth of biologics expected to lose exclusivity over the next five years, we are well positioned to capitalise on this opportunity and unlock value for all stakeholders.”

However, while the 13 IPOs since November 2020 have garnered around ₹9,000 crore from the primary market, these firms have delivered mixed returns to investors so far. Data collated by PRIME Database shows that Krishna Institute of Medical Sciences, Sigachi Industries, Ami Organics, Rainbow Children's Medicare and Global Health have gained between 35 per cent and 78 per cent from their respective offer prices as of February 8, 2023. The biggest gainer has been Tatva Chintan Pharma Chem Limited, a Gujarat-headquartered specialty chemicals manufacturing company. It listed on the bourses on July 29, 2021, and its share price has increased nearly 85 per cent to ₹1,998.55 on February 8 from the issue price of ₹1,083.

On the other hand, Krsnaa Diagnostics, which made its market debut on August 16, 2021, has declined 53 per cent to ₹445 on February 8 compared to its issue price of ₹954. Windlas Biotech, Glenmark Life Sciences, Medplus Health Services, Vijaya Diagnostics Centre and Supriya Lifesciences have all declined between 18 per cent and 48 per cent so far (February 8, 2023) from their respective issue prices.

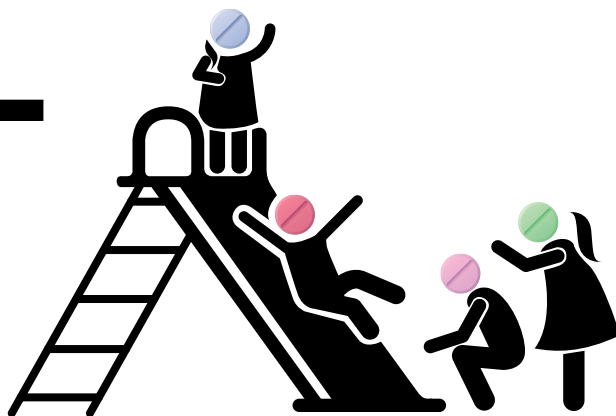
According to a research done by ACE Equity and Bank of Baroda, in CY22 (till mid-December), IPOs in edible oil, insurance and hospital & healthcare services contributed 56 per cent of the total issuances of ₹55,472 crore in the primary market. “While the edible oil industry has performed very well on the stock market, the insurance industry (read: LIC) has taken a hit,

while returns in the healthcare services industry are modest at best,” says Sonal Badhan, Economist with Bank of Baroda's Economics Research Department.

LET'S NOW TAKE a deeper look at some of the companies joining the public markets. Tatva Chintan Pharma Chem, which had revenues of ₹433.6 crore in FY22, saw its Q3FY23 top line grow to ₹120.6 crore from ₹104.67 crore in Q3FY22. The company is ex-

panding manufacturing capacity at its existing plant in Dahej SEZ, Gujarat. It is also expanding its R&D facility at Vadodara, which is expected to be completed by FY23-end, it said in a regulatory filing. The company has successfully completed plant-scale trial runs of a new product using continuous flow chemistry (a kind of chemical reaction), which is expected to be commercialised by 2024.

Another new entrant on the bourses, Ami Organics, reported a growth of 7.9 per cent in its consolidated revenues at ₹152.4 crore in



ALIVE AND KICKING

- ▶ In terms of listings, even though the past five years have been a mixed bag for healthcare-related companies, the performance of the past two years has been impressive
- ▶ Since November 2020, as many as 13 such companies have raised around ₹9,000 crore from the primary market so far
- ▶ In CY22 (till mid-December), IPOs in edible oil, insurance and hospital & healthcare services contributed 56 per cent to the total issuances of ₹55,472 crore in the primary market
- ▶ Despite the muted performance of some of these health and pharma firms, analysts remain bullish on companies like Glenmark Life Sciences and Vijaya Diagnostics
- ▶ Government support and investments in this space further spurs the interest of investors in these companies
- ▶ The Indian healthcare industry is expected to post a healthy 13-15 per cent CAGR between fiscals 2022 and 2026, per CRISIL Research estimates